

“(I) For a household of 9 persons or more, an additional 22 percent per person, which additional percentage shall not total more than 200 percent.

“(3) ALLOWABLE COST ADJUSTMENTS.—The Secretary shall—

“(A) make cost adjustments in the thrifty food plan for Hawaii and the urban and rural parts of Alaska to reflect the cost of food in Hawaii and urban and rural Alaska;

Hawaii.
Alaska.

“(B) make cost adjustments in the separate thrifty food plans for Guam and the Virgin Islands of the United States to reflect the cost of food in those States, but not to exceed the cost of food in the 50 States and the District of Columbia; and

Guam.
Virgin Islands.

“(C) on October 1, 2025, and on each October 1 thereafter, adjust the cost of the thrifty food plan to reflect changes in the Consumer Price Index for All Urban Consumers, published by the Bureau of Labor Statistics of the Department of Labor, for the most recent 12-month period ending in June.

Effective dates.
Time period.
Expiration date.

“(4) RE-EVALUATION OF MARKET BASKETS.—

“(A) RE-EVALUATION.—Not earlier than October 1, 2027, the Secretary may re-evaluate the market baskets of the thrifty food plan based on current food prices, food composition data, consumption patterns, and dietary guidance.

Deadline.

“(B) COST NEUTRALITY.—The Secretary shall not increase the cost of the thrifty food plan based on a re-evaluation under this paragraph.”.

(b) CONFORMING AMENDMENTS.—

(1) Section 16(c)(1)(A)(ii)(II) of the Food and Nutrition Act of 2008 (7 U.S.C. 2025(c)(1)(A)(ii)(II)) is amended by striking “section 3(u)(4)” and inserting “section 3(u)(3)”.

(2) Section 19(a)(2)(A)(ii) of the Food and Nutrition Act of 2008 (7 U.S.C. 2028(a)(2)(A)(ii)) is amended by striking “section 3(u)(4)” and inserting “section 3(u)(3)”.

(3) Section 27(a)(2) of the Food and Nutrition Act of 2008 (7 U.S.C. 2036(a)(2))) is amended by striking “section 3(u)(4)” each place it appears and inserting “section 3(u)(3)”.

SEC. 10102. MODIFICATIONS TO SNAP WORK REQUIREMENTS FOR ABLE-BODIED ADULTS.

(a) EXCEPTIONS.—Section 6(o) of the Food and Nutrition Act of 2008 (7 U.S.C. 2015(o)) is amended by striking paragraph (3) and inserting the following:

“(3) EXCEPTIONS.—Paragraph (2) shall not apply to an individual if the individual is—

“(A) under 18, or over 65, years of age;

“(B) medically certified as physically or mentally unfit for employment;

“(C) a parent or other member of a household with responsibility for a dependent child under 14 years of age;

“(D) otherwise exempt under subsection (d)(2);

“(E) a pregnant woman;

“(F) an Indian or an Urban Indian (as such terms are defined in paragraphs (13) and (28) of section 4 of the Indian Health Care Improvement Act); or

“(G) a California Indian described in section 809(a) of the Indian Health Care Improvement Act.”.

(b) STANDARDIZING ENFORCEMENT.—Section 6(o)(4) of the Food and Nutrition Act of 2008 (7 U.S.C. 2015(o)(4)) is amended—

(1) in subparagraph (A), by striking clause (ii) and inserting the following:

“(ii) is in a noncontiguous State and has an unemployment rate that is at or above 1.5 times the national unemployment rate.”; and

(2) by adding at the end the following:

“(C) DEFINITION OF NONCONTIGUOUS STATE.—

“(i) IN GENERAL.—In this paragraph, the term ‘noncontiguous State’ means a State that is not 1 of the contiguous 48 States or the District of Columbia.

“(ii) EXCLUSIONS.—The term ‘noncontiguous State’ does not include Guam or the Virgin Islands of the United States.”.

(c) WAIVER FOR NONCONTIGUOUS STATES.—Section 6(o) of the Food and Nutrition Act of 2008 (7 U.S.C. 2015(o)) is amended—

(1) by redesignating paragraph (7) as paragraph (8); and

(2) by inserting after paragraph (6) the following:

“(7) EXEMPTION FOR NONCONTIGUOUS STATES.—

“(A) DEFINITION OF NONCONTIGUOUS STATE.—

“(i) IN GENERAL.—In this paragraph, the term ‘noncontiguous State’ means a State that is not 1 of the contiguous 48 States or the District of Columbia.

“(ii) EXCLUSIONS.—In this paragraph, the term ‘noncontiguous State’ does not include Guam or the Virgin Islands of the United States.

“(B) EXEMPTION.—Subject to subparagraph (D), the Secretary may exempt individuals in a noncontiguous State from compliance with the requirements of paragraph (2) if—

“(i) the State agency submits to the Secretary a request for that exemption, made in such form and at such time as the Secretary may require, and including the information described in subparagraph (C); and

“(ii) the Secretary determines that based on that request, the State agency is demonstrating a good faith effort to comply with the requirements of paragraph (2).

“(C) GOOD FAITH EFFORT DETERMINATION.—In determining whether a State agency is demonstrating a good faith effort for purposes of subparagraph (B)(ii), the Secretary shall consider—

“(i) any actions taken by the State agency toward compliance with the requirements of paragraph (2);

“(ii) any significant barriers to or challenges in meeting those requirements, including barriers or challenges relating to funding, design, development, procurement, or installation of necessary systems or resources;

“(iii) the detailed plan and timeline of the State agency for achieving full compliance with those requirements, including any milestones (as defined by the Secretary); and

Determination.
Compliance.

“(iv) any other criteria determined appropriate by the Secretary.

“(D) DURATION OF EXEMPTION.—

“(i) IN GENERAL.—An exemption granted under subparagraph (B) shall expire not later than December 31, 2028, and may not be renewed beyond that date. Deadline.

“(ii) EARLY TERMINATION.—The Secretary may terminate an exemption granted under subparagraph (B) prior to the expiration date of that exemption if the Secretary determines that the State agency— Determination.

“(I) has failed to comply with the reporting requirements described in subparagraph (E); or Compliance.

“(II) based on the information provided pursuant to subparagraph (E), failed to make continued good faith efforts toward compliance with the requirements of this subsection.

“(E) REPORTING REQUIREMENTS.—A State agency granted an exemption under subparagraph (B) shall submit to the Secretary—

“(i) quarterly progress reports on the status of the State agency in achieving the milestones toward full compliance described in subparagraph (C)(iii); and

“(ii) information on specific risks or newly identified barriers or challenges to full compliance, including the plan of the State agency to mitigate those risks, barriers, or challenges.”. Plan.

SEC. 10103. AVAILABILITY OF STANDARD UTILITY ALLOWANCES BASED ON RECEIPT OF ENERGY ASSISTANCE.

(a) STANDARD UTILITY ALLOWANCE.—Section 5(e)(6)(C)(iv)(I) of the Food and Nutrition Act of 2008 (7 U.S.C. 2014(e)(6)(C)(iv)(I)) is amended by inserting “with an elderly or disabled member” after “households”.

(b) THIRD-PARTY ENERGY ASSISTANCE PAYMENTS.—Section 5(k)(4) of the Food and Nutrition Act of 2008 (7 U.S.C. 2014(k)(4)) is amended—

(1) in subparagraph (A), by inserting “without an elderly or disabled member” before “shall be”; and

(2) in subparagraph (B), by inserting “with an elderly or disabled member” before “under a State law”.

SEC. 10104. RESTRICTIONS ON INTERNET EXPENSES.

Section 5(e)(6) of the Food and Nutrition Act of 2008 (7 U.S.C. 2014(e)(6)) is amended by adding at the end the following:

“(E) RESTRICTIONS ON INTERNET EXPENSES.—Any service fee associated with internet connection shall not be used in computing the excess shelter expense deduction under this paragraph.”.

SEC. 10105. MATCHING FUNDS REQUIREMENTS.

(a) IN GENERAL.—Section 4(a) of the Food and Nutrition Act of 2008 (7 U.S.C. 2013(a)) is amended—

(1) by striking “(a) Subject to” and inserting the following:

“(a) PROGRAM.—

“(1) ESTABLISHMENT.—Subject to”; and

(2) by adding at the end the following:

“(2) STATE QUALITY CONTROL INCENTIVE.—